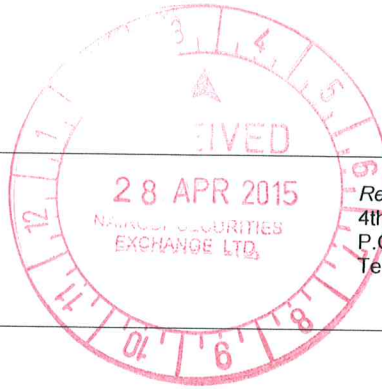




TPS Eastern Africa Limited

Registered Office

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28th April, 2015

The Chief Executive
Capital Markets Authority
Embankment Plaza, 3rd Floor
Longonot Road
P.O. Box 74800 00200
NAIROBI.

Dear Sir,

RE: TPS Eastern Africa Limited's 2014 Financial Results

The above subject matter refers.

Enclosed please find TPS Eastern Africa Limited's financial results for the year ended 31st December 2014 as approved by the Board of Directors at a meeting held on 28th April, 2015.

Kindly acknowledge receipt by stamping a copy of this letter.

Yours faithfully,
TPS Eastern Africa Limited

Dominic Ng'ang'a
Company Secretary E.A

Cc. The Chief Executive, Nairobi Securities Exchange



TPS EASTERN AFRICA LIMITED

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the audited results and financial statements for the year ended 31 December 2014.

CONDENSED CONSOLIDATED INCOME STATEMENT:

	2014	2013
	Shs' 000	Restated Shs' 000
Sales	6,337,210	6,814,334
Earnings before exchange loss, interest, depreciation and taxation	782,387	1,250,285
Exchange (loss)/gain on foreign currency loans	(17,608)	16,709
Net interest expense	(154,419)	(144,822)
Depreciation on property, plant and equipment	(426,237)	(388,246)
Share of results of associates	35,978	21,791
Profit before income tax	220,101	755,717
Current income tax	(54,686)	(227,807)
Deferred income tax	109,004	(76,909)
Profit for the year	274,419	451,001
Attributable to:		
Equity holders of the Company	245,910	411,414
Non controlling interest	28,509	39,587
	274,419	451,001
Earnings per share for profit attributable to equity holders of the Company		
- basic & diluted (Shs per share)	1.35	2.26
Weighted average number of shares (000s)	182,174	182,174

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME:

	2014	2013
	Shs' 000	Restated Shs' 000
Profit for the year	274,419	451,001
Other comprehensive income	(172,070)	93,247
Total comprehensive income for the year	102,349	544,248
Attributable to:		
Equity holders of the Company	73,840	504,661
Non controlling interest	28,509	39,587
	102,349	544,248

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION:

	2014	2013	2012
	Shs'000	Restated Shs'000	Restated Shs'000
CAPITAL EMPLOYED			
Total equity	10,412,489	10,556,075	7,927,235
Non-current liabilities	2,755,930	2,961,910	3,256,705
	13,168,419	13,517,985	11,183,940
REPRESENTED BY			
Non-current assets	13,711,998	13,865,058	11,413,799
Net current (liabilities)/assets	(543,579)	(347,073)	(229,859)
	13,168,419	13,517,985	11,183,940

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY:

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Non controlling interest	Tota
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2013								
At start of year as previously stated	148,211	3,032,431	2,370,118	(256,921)	2,638,137	192,674	56,760	8,181,410
Prior year adjustment	-	-	-	4,672	(258,847)	-	-	(254,175)
Restated	148,211	3,032,431	2,370,118	(252,249)	2,379,290	192,674	56,760	7,927,235
Comprehensive income for the year								
Profit for the year	-	-	-	-	411,414	-	39,587	451,001
Other comprehensive income	-	-	(30,295)	93,247	30,295	-	-	93,247
Total comprehensive income for the year	-	-	(30,295)	93,247	441,709	-	39,587	544,248
On acquisition	-	-	-	-	-	-	883,066	883,066
Transactions with owners								
Issue of shares	33,963	1,360,237	-	-	-	-	-	1,394,200
Dividends:								
- final for 2012 paid	-	-	-	-	-	(192,674)	-	(192,674)
- proposed for 2013	-	-	-	-	(245,935)	245,935	-	-
	33,963	1,360,237	-	-	(245,935)	53,261	-	1,201,526
At end of year	182,174	4,392,668	2,339,823	(159,002)	2,575,064	245,935	979,413	10,556,075

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY:

	Share capital	Share premium	Revaluation reserves	Translation reserves	Retained earnings	Proposed dividends	Non controlling interest	Tot:
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'00
Year ended 31 December 2014								
At start of year previously stated	182,174	4,392,668	2,339,823	(159,176)	3,051,440	245,935	979,413	11,032,27
Prior year adjustment	-	-	-	174	(476,376)	-	-	(476,202
Restated	182,174	4,392,668	2,339,823	(159,002)	2,575,064	245,935	979,413	10,556,07
Comprehensive income for the year								
Profit for the year	-	-	-	-	245,910	-	28,509	274,419
Other comprehensive income	-	-	(28,916)	(172,070)	28,916	-	-	(172,070)
Total comprehensive income for the year	-	-	(28,916)	(172,070)	274,826	-	28,509	102,349
Transactions with owners								
Dividends:								
- final for 2013 paid	-	-	-	-	-	(245,935)	-	(245,935)
- proposed for 2014	-	-	-	-	(245,935)	245,935	-	-
	-	-	-	-	(245,935)	-	-	(245,935)
At end of year	182,174	4,392,668	2,310,907	(331,072)	2,603,955	245,935	1,007,922	10,412,489

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS:

	2014	2013
	Shs'000	Restated Shs'000
Net cash generated from operating activities	480,433	953,467
Net cash used in investing activities	(412,373)	(468,617)
Net cash used in financing activities	(81,990)	(718,974)
Net decrease in cash and cash equivalents	(13,930)	(234,124)
Movement in cash and cash equivalents		
At start of year	(120,252)	45,874
Decrease in cash	(13,930)	(234,124)
Effect of currency translation differences	45,595	67,998
At end of year	(88,587)	(120,252)

Commentary

Year 2014 proved to be another challenging year for the Company as the Tourism Industry in Kenya has been battling to rebound from a series of setbacks since year 2013 which, to some extent, affected the perception of the East African Region due to negative international publicity. The setbacks include: elevated travel advisories and other forms of security alerts issued by governments of main source markets, growing threat of terrorism and local security incidents, and introduction of Value Added Tax on tourism services and park fees in September 2013 which continue to make destination Kenya uncompetitive relative to the other safari destinations. From the middle of the third quarter of 2014, the Ebola epidemic originating in West African countries negatively impacted all African tourist destinations and bookings for TPS Eastern Africa Limited (TPSEAL) units in Tanzania witnessed extensive cancellations for period September 2014 to March 2015.

Charter flights to Kenya remain withdrawn as foreign leisure and, to a lesser extent, the corporate business segment took a cautious approach during 2014. The Kenyan Coast is experiencing an unprecedented business crisis and unfortunately, most of the setbacks continue to negatively impact foreign leisure business levels in 2015.

Corporate business segments contributed positively during the year 2014 and this trend is expected to continue in year 2015.

The Company in 2014 took measures, to the extent possible, to safeguard shareholder value, meet its financial commitments, maintain market share, maintain the assets in good condition so as to avoid compromising standards of product and service and implemented efficiency measures to reduce energy, procurement and general operating costs without sacrificing operating standards.

For the year 2014, TPSEAL recorded a turnover of KShs. 6.3 billion (2013: KShs. 6.8 billion) and Profit after Tax of KShs. 274 million (2013: KShs. 451 million). The positive results can be considered satisfactory within the overall context of a business environment that was challenging, as has been noted.

The positive result is indeed a validation of the success of Serena's regionalization strategy since year 2006, to diversify the Company's revenue stream in the Eastern Africa Region. Serena Uganda recorded commendable performance in 2014 and the Associate Companies, Tourism Promotion Services (Rwanda) Limited and TPS (D) Limited recorded a growth in contribution compared to last year.

In year 2015, Serena Hotels is expected to begin extension and refurbishment projects at Nairobi Serena Hotel, Kampala Serena Hotel, and Dar es Salaam Serena Hotel in a phased manner to minimize disruption to guest services. It will be appreciated that the investments are necessary to enable the Company's City Hotels portfolio to increase their market share in the future, thus improving TPSEAL's consolidated profitability and earnings-per-share in the medium to long-term.

The Group will continue to implement refurbishment of the other existing properties, appropriate Human Resource Management practices and sound Corporate Social Responsibility programs that complement its long-term business strategy, just as it continues to pursue new business opportunities in line with its diversification policy and strategy that extends the marketing and sales outreach to non-traditional markets.

The Company continues to be a significant contributor to the revenues of the Governments of Kenya, Tanzania and Uganda. The Group paid, in aggregate, the equivalent of KShs. 1,471 million (2013: KShs. 1,599 million) in direct and indirect taxes and equivalent of KShs. 160 million (2013: KShs. 187 million) to local authorities in royalty/rent payments in the various jurisdictions during 2014.

Dividend

The Directors are recommending for approval, at the forthcoming Annual General Meeting, payment of a final dividend for 2014 of KShs 1.35 per share (2013: KShs 1.35 per share), subject to payment of withholding tax, where applicable. The dividend will be payable on or about July 29, 2015 to members on the Register at the close of business on June 29, 2015. It will be noted that, despite challenging business conditions, the Company proposes to maintain the same level of dividend payment in line with the previous year.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on Monday, June 29, 2015, at 11.00 a.m. at the Kenyatta International Conference Centre, Nairobi.

By Order of the Board

Dominic Ng'ang'a
Company Secretary

April 28, 2015
Nairobi

The above income statement, statement of financial position, statement of changes in equity and summary statement of cash flows are an extract from the audited financial statements for the Company for the year ended 31 December 2014.